

Ramsey will always buy the strongest market in a sector for long positions and sell the weakest market in a sector for short positions. Many novice traders make the error of doing the exact opposite. They will buy the laggards in a sector on the typically mistaken assumption that those markets haven't yet made their move and therefore provide more potential and less risk. When Ramsey is looking for a reversal in a sector, he will focus on establishing a position in the market that lagged most on the prior price move. For example, when Ramsey anticipated the dollar would reverse to the upside at the end of QE2, he sought to sell currencies, such as the Turkish lira, that had been weak despite the prior dollar weakness.

Ramsey pays a lot of attention to price movements in related markets. The failure of a market to respond as expected to a price move in a correlated market can reveal inherent strength or weakness. For example, after years of moving together, in early September 2011, equity prices rallied, but commodity prices weakened. Ramsey read the failure of commodity prices to respond to equity market strength as a signal of impending weakness. During the second half of September, commodity prices and commodity currencies (e.g., Australian, New Zealand, and Canadian dollars) plunged.

Perhaps the hallmark of Ramsey's trading approach is his rigorous control of risk. Ramsey will typically risk a mere 0.1 percent on each trade from point of entry. Once he is ahead on a trade, he will allow for more risk latitude. This approach all but assures that losses on new trades are likely to be quite moderate. The only time Ramsey is vulnerable to a significant monthly loss is when there are large open profits from winning trades. Although the use of a 0.1 percent stop point from entry is probably too extreme (or perhaps even inadvisable) for most traders to adopt, the general concept of using a relatively close stop on new trades and allowing a wider stop after a profit margin has been created is an effective risk management approach that could work well for many traders.

Success in trading requires dedication. Ramsey continues to trade and monitor his positions even when he is on vacation. He also awakens himself multiple times each night to check on his positions. This type of all-encompassing commitment to trading it is not necessarily recommended as a lifestyle, but rather is offered as an observation of one of the